testbook PASS PRO MAX

General Knowledge

Indian Economy

STUDY NOTES

Basic Concepts of Microeconomics

testbook PASS PRO MAX

BASIC CONCEPTS OF MICROECONOMICS

Concepts of Microeconomics - An Introduction

Microeconomics is the branch of economics that deals with the behaviour and decision-making processes of individual economic units, such as households, firms, and industries. It focuses on how these entities allocate resources, make choices, and interact within markets. Microeconomics studies the factors that influence the supply and demand for goods and services, the prices of those goods and services, and how resources are distributed within an economy.

Aspect	Microeconomics	Macroeconomics
Definition	Focuses on the behavior of individual economic units like consumers, firms, and industries.	Focuses on the economy as a whole, studying aggregated indicators like national income, inflation, and unemployment.
Scope	Narrower; looks at specific markets, products, and services.	Broader; looks at the entire economy or large sectors like national, regional, or global economies.
Key Focus	Decision-making of individuals and firms, pricing, and allocation of resources.	National economic performance, including GDP, inflation rates, fiscal policy, and unemployment.
Examples	Supply and demand, price determination, individual consumer behavior, market structures.	National income, inflation, unemployment, fiscal and monetary policy, economic growth.
Objective	Understand the choices of individual agents and how they interact in specific markets.	Analyse overall economic performance and make policies to stabilize or stimulate the economy.

Methodology	Uses tools like demand and supply curves, elasticity, and cost structures.	Uses tools like aggregate demand and supply, national income accounting, and economic growth models.
Economic Units Studied	Individuals, households, firms, and industries.	Countries, economies, large economic sectors, and governments.
Policy Implications	Provides insights into business strategy, pricing, competition, and consumer welfare.	Informs government policies related to inflation control, fiscal deficits, and unemployment reduction.
Real-World Application	Used by businesses to set prices, optimize production, and plan for market changes.	Used by governments to formulate macroeconomic policy, manage economic stability, and promote growth.

Demand and Supply

- **Demand** refers to the quantity of a good or service consumers are willing and able to buy at various prices.
- **Supply** refers to the quantity of a good or service producers are willing to sell at various prices.
- The interaction of demand and supply determines the **market equilibrium** price and quantity.

Law of Demand

The law of demand states that, **other things being equal (ceteris paribus)**, the quantity demanded of a good or service decreases when its price increases, and vice versa.

- **Inverse Relationship:** Price and quantity demanded move in opposite directions.
- **Ceteris Paribus Condition:** Assumes no changes in other factors such as income, tastes, or the price of related goods.
- **Demand Curve:** Slopes downward from left to right due to:
    - **Substitution Effect:** Consumers switch to cheaper alternatives when the price of a good rises.
    - **Income Effect:** Higher prices reduce consumers' purchasing power, leading to lower demand.

Exceptions to the Law of Demand:

- **Giffen Goods:** Goods with upward-sloping demand curves due to strong income effects.
- **Veblen Goods:** Luxury items where higher prices make them more desirable.
- **Necessities:** Essential goods with relatively inelastic demand.

Law of Supply

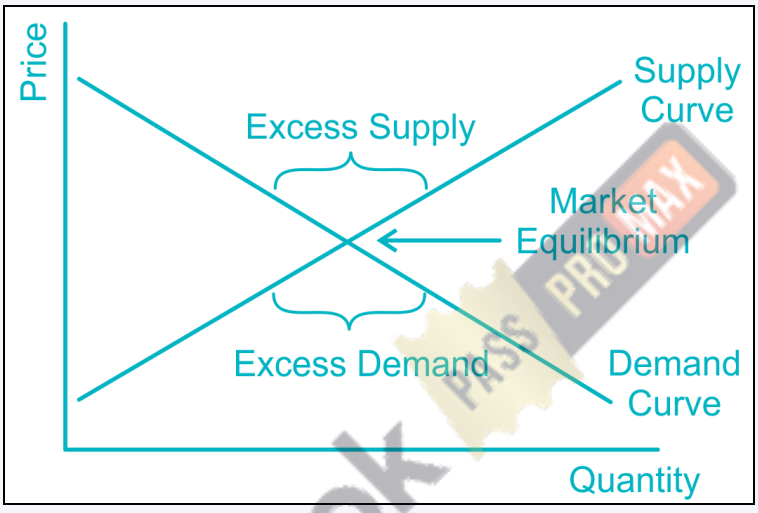
The law of supply states that, **other things being equal**, the quantity supplied of a good or service increases as its price rises, and decreases when its price falls.

- **Direct Relationship:** Price and quantity supplied move in the same direction.
- **Supply Curve:** Slopes upward from left to right because:

- Higher prices increase profitability, encouraging producers to supply more.
- Producers may allocate more resources to the production of higher-priced goods.

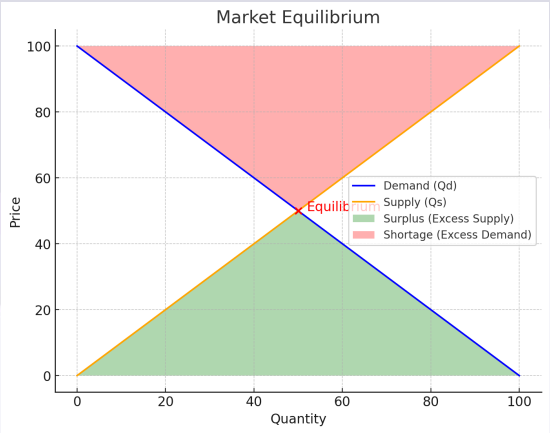
Exceptions to the Law of Supply:

- **Fixed Supply:** Unique goods like rare artefacts or land.
- **Backward Bending Supply Curve of Labor:** At higher wages, individuals may work fewer hours.



Market Equilibrium

- This occurs when the quantity demanded by consumers equals the quantity supplied by producers.
- The corresponding price is the equilibrium price, and the quantity is the equilibrium quantity.
- If the market price is above equilibrium, there is a **surplus** (excess supply), leading to downward pressure on prices. If the price is below equilibrium, there is a **shortage** (excess demand), pushing prices up.



Elasticity

- Elasticity is a measure of the responsiveness of one economic variable to changes in another. It helps economists and businesses understand how changes in price, income, or other factors affect demand, supply, or other market outcomes

Types of Elasticity:

Price Elasticity of Demand (PED) Measures the responsiveness of the quantity demanded of a good to changes in its price. $$PED = \frac{\text{\% Change in Quantity Demanded}}{\text{\% Change in Price}}$$	**Elastic Demand**: • A small change in price causes a large change in the quantity demanded. Example: luxury goods. • $PED > 1$ **Inelastic Demand**: PED<1 • A change in price causes a smaller change in quantity demanded. Example: necessities like food. **Unitary Elasticity**: • PED=1 A change in price causes a proportional change in quantity demanded.

Price Elasticity of Supply (PES) Measures the responsiveness of the quantity supplied of a good to changes in its price. $$PED = \frac{\text{\% Change in Quantity Demanded}}{\text{\% Change in Price}}$$	**Elastic Supply**: PES • Producers can quickly adjust supply in response to price changes. Example: manufactured goods. **Inelastic Supply**: PES<1 • Producers cannot adjust supply quickly. Example: agricultural products. **Unitary Elasticity**: PES=1 • Proportional change in supply with price changes.
Income Elasticity of Demand (YED) Measures how the quantity demanded of a good changes as consumer income changes. $$YED = \frac{\text{\% Change in Quantity Demanded}}{\text{\% Change in Income}}$$	**Normal Goods**: YED>0 • Demand increases with income. Example: branded clothing. **Inferior Goods**: YED<0 • Demand decreases as income rises. Example: instant noodles.

Markets

- In microeconomics, the concept of a *market* refers to any structure that allows buyers and sellers to exchange goods, services, and information.
- The market structure determines the nature of competition and pricing in a specific industry or economic environment.

testbook PASS PRO MAX

Types of Markets

Perfect Competition:	• Many buyers and sellers, homogeneous products, free entry and exit, and perfect information. • Prices are determined by the market. • The goods offered by different firms are identical, meaning consumers view them as perfect substitutes. • Firms can easily enter or exit the market without any barriers, ensuring that profits are normalized in the long run.

Monopoly	• A single seller controls the entire market, with no close substitutes for the product. • The monopolist has significant pricing power. • High barriers (e.g., patents, government regulation, or large capital investment) prevent other firms from entering the market. • Consumers have no alternatives, so the monopolist can exploit its market power to charge higher prices.

Monopolistic Competition	• Like in perfect competition, there are many firms, but each sells a slightly differentiated product. • Firms offer products that are similar but not identical (e.g., through branding, quality differences, or unique features). Consumers perceive differences even if the core product is the same. • New firms can enter the market relatively easily, but product differentiation requires some effort (advertising, branding).

Oligopoly	• A few large firms dominate the market.

testbook PASS PRO MAX

	• These firms may collude or compete, and strategic interactions (like price-setting and product launches) are crucial. • Firms are highly interdependent. A firm's decision (e.g., to raise prices or launch a new product) impacts the entire market, and rival firms must respond strategically.

Goods

- These are tangible products that meet the needs of consumers.
- Here is a table that gives a brief explanation of the types of goods with examples

Type of Good	Description	Examples
Consumer Goods	Goods purchased by individuals for personal use or consumption.	Food, clothing, electronics, appliances
Producer Goods	Goods are used by businesses to produce other goods or services.	Machinery, raw materials, tools, equipment
Durable Goods	Goods that last for a long time and can be used repeatedly.	Cars, furniture, appliances, computers
Non-Durable Goods	Goods that are consumed quickly or have a short lifespan.	Food, clothing, fuel, newspapers
Luxury Goods	High-priced goods are often desired for their prestige or quality.	Jewellery, designer clothing, luxury cars, yachts
Inferior Goods	Goods whose demand decreases as consumer income increases.	Generic brands, used clothing, public transportation
Normal Goods	Goods whose demand increases as consumer income increases.	Most goods and services
Complementary Goods	Goods that are often consumed together.	Cars and gasoline, printers and ink cartridges, coffee and cream

Substitute Goods	Goods that can be used in place of each other.	Butter and margarine, tea and coffee, Coke and Pepsi

To remember the types of goods use the acronym : NIL – Normal, Inferior and Luxury

Marginal Utility

Marginal Utility (MU) refers to the **additional satisfaction or utility** a consumer gains from consuming one more unit of a good or service while keeping consumption of other goods constant.

- **Incremental Concept:** It measures the change in total utility due to an additional unit of consumption.
- **Quantitative Measure:** Utility is expressed in subjective units (utils), representing satisfaction.

The formula for Marginal Utility

$$MU = \frac{\Delta TU}{\Delta Q}$$

Where:

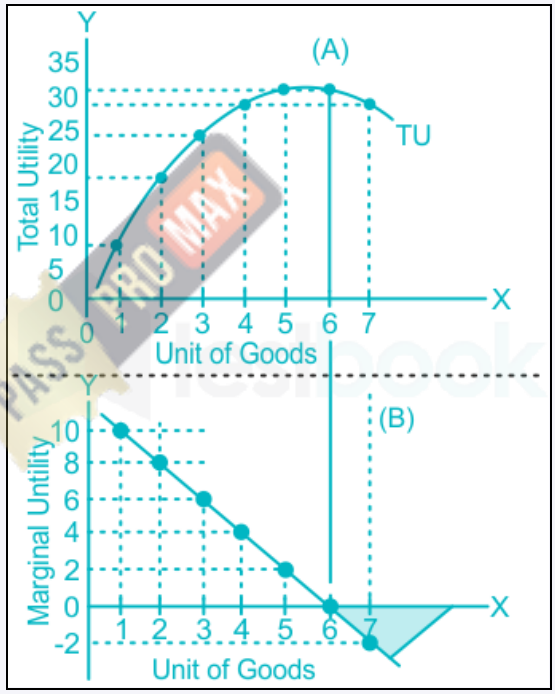
- MUU = Marginal Utility
- ΔTU = Change in Total Utility
- ΔQ = Change in Quantity Consumed

Law of Diminishing Marginal Utility

- **Definition:** The **Law of Diminishing Marginal Utility** states that as a consumer consumes additional units of a good, the **marginal utility** derived from each successive unit decreases.
- **Assumptions of the Law:**
  - Consumer preferences remain constant.
  - Units of the goods consumed are identical.
  - Consumption is continuous.

Example: If a person consumes chocolate:

- **1st piece:** High satisfaction
- **2nd piece:** Lesser satisfaction
- **3rd piece:** Even less satisfaction



Graphical representation

- This curve shows the relation between the marginal utility obtained from consuming an additional unit of product and the quantity of the product consumed.
- It typically decreases as consumption increases, reflecting the principle of diminishing marginal utility.